

SAME HAPPY. NO DAIRY.

A go-to-market recommendation for a dairy-free Blizzard, built on category data and operational reality.

Naveen Raj Kanagaraj | M.S. Marketing Analysis · DePaul University



EXECUTIVE SUMMARY

The one-minute **version**

THE QUESTION

Should Dairy Queen add a dairy-free option, and if so, how should it be positioned, priced, and rolled out?

THE RECOMMENDATION

Launch a dairy-free Blizzard as a premium line extension, piloted through opt-in franchisee recruitment in high-demand metros.

THE INSIGHT

The category is real and growing, but DQ is ~100% franchised and oat milk carries a cost premium. This is a phased premium launch, not a chain-wide discount.

THE OUTCOME

Enter a double-digit-growth category early, ride the Blizzard's equity, and prove demand where it already lives before scaling.

THE ASK 6-month pilot, ~30 franchisees, 3 metros. **KPIs** attach $\geq 8\%$, repeat $\geq 30\%$, net-new group visits. **KILL** miss after 6 months.

THE MARKET OPPORTUNITY

A growing category. **A stalling brand.**

\$1.25B

North America non-dairy ice cream, 2025

12-15%

category CAGR through 2030

30-50M

lactose-intolerant Americans (NIH)

42

DQ store closures in 2024

Sources: Grand View Research; Mordor Intelligence; Franchise Times; NIH. Full citations in appendix.

MARKET & USER EVIDENCE

Built on market data.

+44%



consumers pay more for plant-based aligned to their values

SOURCE: Foods (2023), peer-reviewed

35%



of the global non-dairy ice cream market is North America

SOURCE: Grand View Research

3 of 3



adjacent brands price dairy-free at or above dairy

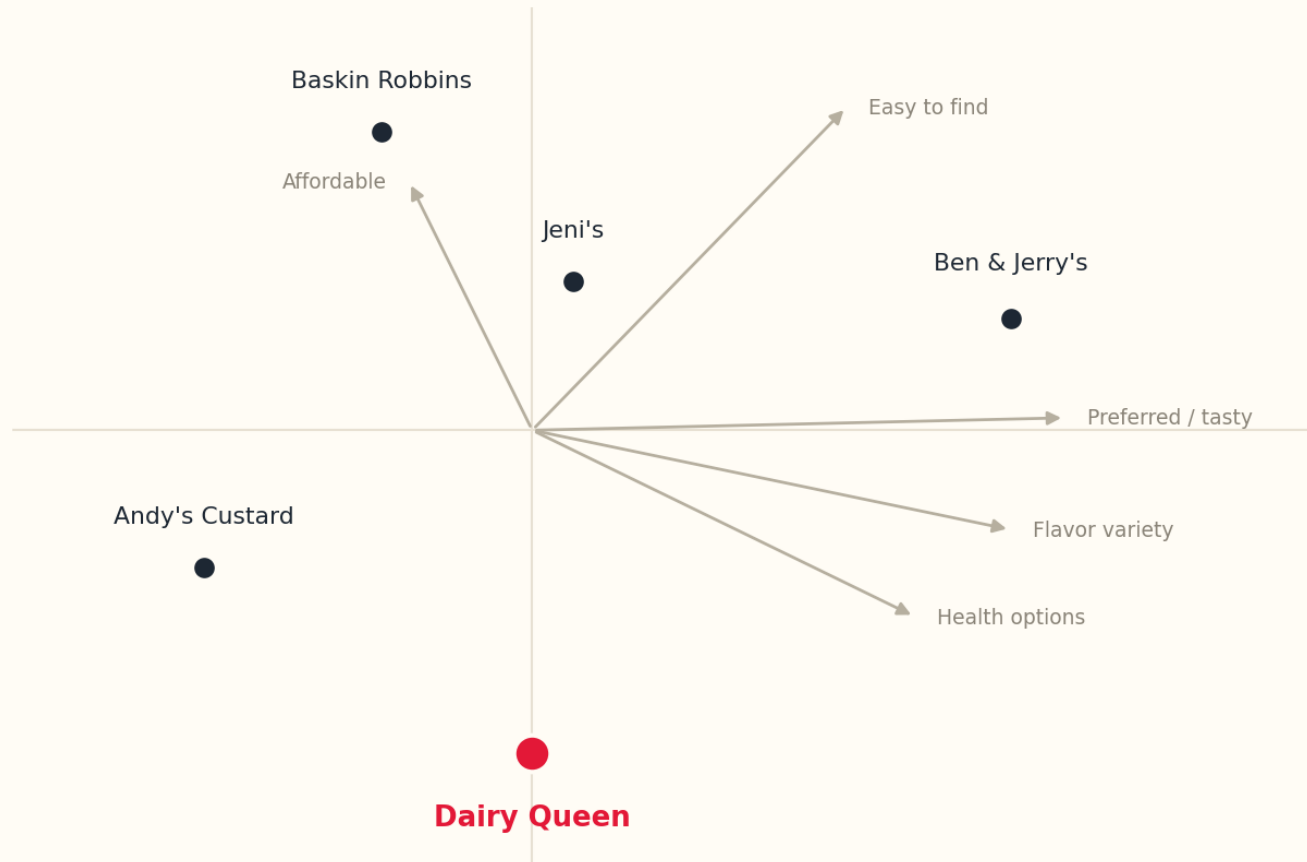
SOURCE: Retail price scan

A NOTE ON THE EVIDENCE

The recommendation rests on cited market data and competitor pricing. Our graduate class conjoint and perceptual study (on GitHub) was an early directional input, overridden where it conflicted with cost and franchise reality.

BRAND POSITIONING & PERCEPTION

DQ is under-differentiated.



HOW TO READ THIS

A perceptual map plots how consumers see brands relative to one another. Brands near each other are seen as similar; arrows show which attributes pull perception in each direction.

DQ sits alone in the low-consideration space; taste, variety, and preference belong to rivals. But this is brand perception. The real battle is at the walk-in occasion, next slide.

Source: our graduate class team's perceptual study, n=52, 5 brands across 8 attributes.

COMPETITIVE LANDSCAPE

Who DQ actually competes with.



The perceptual map measures brand perception against grocery and scoop-shop names. But at the walk-in and drive-thru dessert occasion, DQ competes with other QSR chains, and almost none offer a craveable dairy-free option.

QSR DESSERT PLAYER	DAIRY-FREE AT THE COUNTER?
 McDonald's · McFlurry	None
 Wendy's · Frosty	None
 Culver's · Frozen custard	None
 Shake Shack · Custard	Limited
 Dairy Queen · Blizzard	First-mover opening

The whitespace isn't in the grocery aisle. It's at the QSR counter, where DQ can be the first major chain with a craveable dairy-free treat.

TARGET PERSONA

Meet Jordan.

The group's dessert-decider · post-workout, ordering for four

It's Friday, just after a group workout. Jordan is grabbing dessert for four, and one friend is lactose-intolerant. She has a few minutes and wants a single order that works for everyone, no separate stop, no one sitting it out.

THE OCCASION

WHEN

Post-workout, on the go

WHO

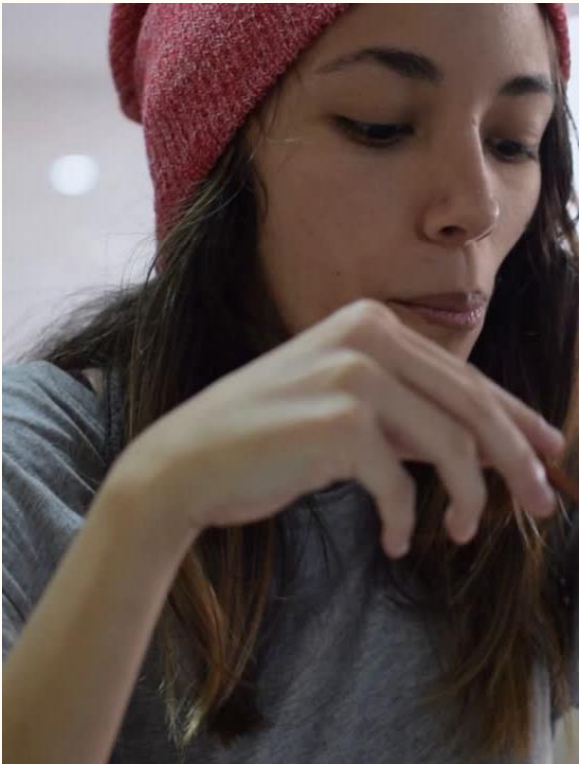
Her plus 3 teammates

THE CATCH

One is lactose-intolerant

THE PRESSURE

One stop, a few minutes



WHAT SHE NEEDS

- One order that works for all four
- No second stop, no one left out
- Great flavor, no compromise
- Fast, from the app or the counter

THE JOB TO BE DONE

“Give me one order that works for all four of us, my dairy-free friend included, without a second stop.”

A VARIANT, NOT A CATEGORY

A Blizzard variant, **not a new category.**

Launch dairy-free as an extension of the Blizzard, DQ's hero product, rather than a standalone line. It rides equity people already trust and an item they already order.

1

Inherits brand equity

No new category to build; the Blizzard name does the trust and awareness work.

2

Lowers the trial barrier

Riding an item people already order beats convincing them to try a new line.

3

Cheaper and simpler

Less awareness spend, less menu complexity, lower operational risk than a category launch.

What we say, and why.

POSITIONING STATEMENT

For dessert lovers who won't leave anyone out, the Dairy-Free Blizzard is the DQ classic the whole table can share, made without dairy, not without the joy.

“Same Happy. No Dairy.”

Subhead: *The Blizzard you love, now dairy-free, so the whole table's in.* Alt lines: *“The Blizzard everyone can share.” · “No dairy. No compromise.”*



PROOF 1

Taste, no compromise

Real Blizzard-thick, oat-milk smooth. The texture people expect from DQ.



PROOF 2

Made for the group

The lactose-intolerant friend finally orders too. One stop, no one left out.



PROOF 3

Same crave, same DQ

Same cup, same spoon-stands-up test, same brand people already trust.

CTA Order dairy-free in the DQ app. Tag who you'd share it with.

INCREMENTAL DEMAND

This may bring the whole table.

HYPOTHESIS The opportunity is larger than dairy-avoiders alone. A dairy-free option may unlock group visits DQ loses today when one member can't eat dairy.

TODAY



One friend is lactose-intolerant.

The group picks somewhere else. **DQ: 0 orders.**

WITH DAIRY-FREE



Everyone can order.

The group comes to DQ. **4 orders, plus food.**

How we'll test it: compare party-size orders at pilot stores vs. matched control stores. North Star: % of orders with 3+ items that include a dairy-free Blizzard. Read at 3 and 6 months.

PRICING & MONETIZATION

Price **up**, **not down**.



Cost floor

Oat milk costs more and DQ has no supply at scale. A short-term premium contract de-risks the pilot but raises unit cost.

Demand ceiling

Consumers pay ~44% more for plant-based aligned to their values (Foods, 2023); every adjacent brand prices dairy-free at or above dairy.

The call

Price the dairy-free Blizzard above the classic, roughly a dollar more, not below it.

The directional conjoint suggested a low, price-sensitive number. It modeled demand but not the cost floor, so I overrode it.

UNIT ECONOMICS & MARGINS

Does it make money?

Menu price (premium)	\$5.79
Cost of goods (base, cup, mix-ins)	(\$1.90)
Oat-milk supplier premium	(\$0.40)
Contribution per Blizzard	\$3.49 (~60%)

Illustrative and directional. Cost inputs are estimates, to be validated against DQ actuals.

MONTHLY CONTRIBUTION / STORE

	oat COGS →		
attach ↓	\$0.30	\$0.40	\$0.60
3%	\$390	\$375	\$355
8%	\$1,035	\$1,005	\$945
12%	\$1,550	\$1,505	\$1,420

Illustrative. ~120 Blizzards/store/day; unit contribution = \$5.79 – \$1.90 base – oat premium. Base case (\$0.40, 8%) in green.

You can't mandate 4,200 stores. **So don't.**

THE CONSTRAINT Dairy Queen is ~100% franchised, with only two company-owned stores, both in Minnesota (Franchise Times). Corporate cannot force a new SKU; franchisees choose, based on equipment, training, and margin.

1 · Recruit, don't mandate

- Opt-in adoption, not a mandate
- Corporate 50/50 equipment co-op
- DQ funds the local launch push

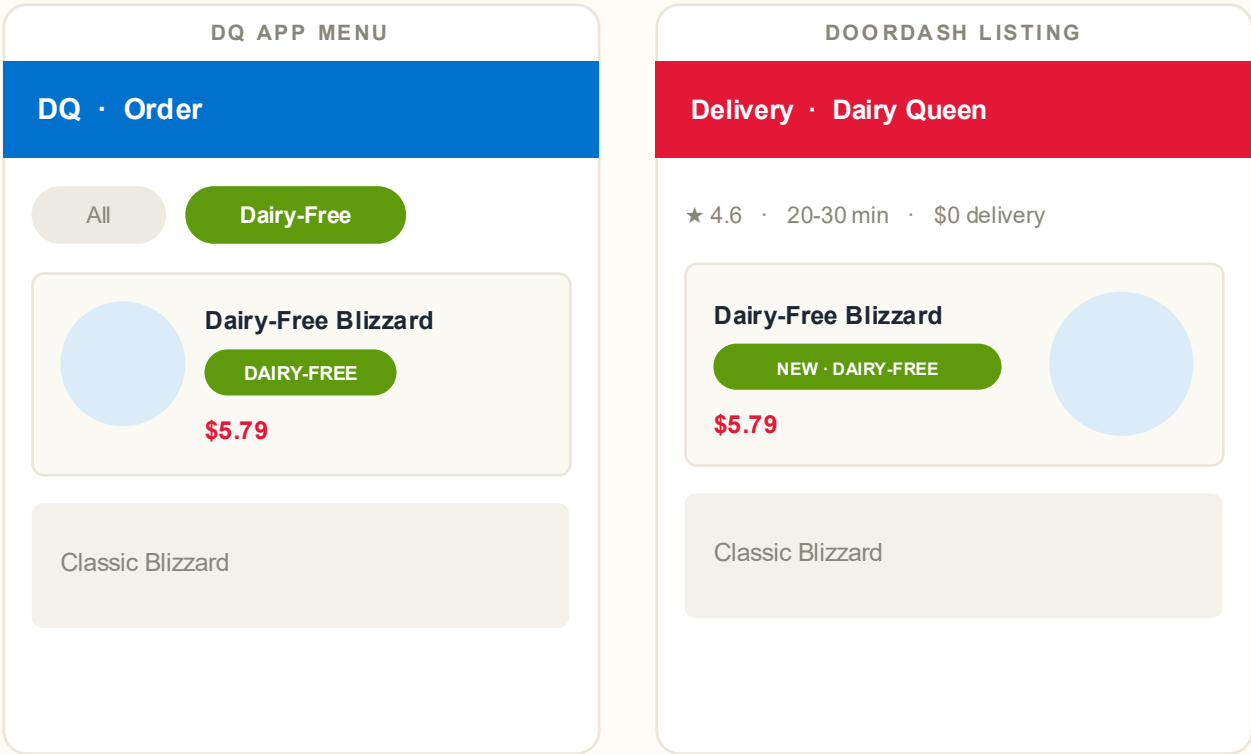
2 · Pilot in demand metros

- LA, SF, NYC
- High plant-based penetration

3 · Prove, then expand

- Win where demand already exists
- Trade easier demand for tougher rivals, on purpose

Meet the buyer in the order flow.



A dairy-free Blizzard has to be findable at the moment of ordering, not just on the menu board. Discovery happens in the app and on delivery, so the variant has to surface where the buyer already is.

WHERE DISCOVERY HAPPENS

-  **Dairy-free filter**
Findable in one tap, app and delivery
-  **Badge on the Blizzard**
A callout at the point of choice
-  **Delivery listings**
DoorDash and Uber Eats, not just in-store

What I changed, and why.

The model here is our conjoint study. It gave directional signal, but it modeled demand only, not the oat-milk cost floor, the franchise structure, or the competitive map. I pressure-tested the recommendation against those and revised it.

	OUR CONJOINT SUGGESTED	REVISED, AFTER MARKET REALITY
Price	Conjoint said a low, discounted price	→ Premium, driven by the oat-milk cost floor
Positioning	A standalone dairy-free category	→ A Blizzard line extension
Rollout	Sold across 4,200 stores	→ Opt-in franchise pilot in demand metros
Evidence	Small-sample conjoint utilities	→ Cited market data + operational reality

SUCCESS METRICS & KPIS

How I'd measure it.



1	ADOPTION	Franchisee opt-in rate across pilot metros
2	TRIAL	Dairy-free attach rate on Blizzard orders
3	REPEAT	Repeat-purchase rate among triers
4	INCREMENTALITY	Net-new group visits, not switched Blizzards
5	SHARE	Category share in pilot metros vs. QSR rivals

North Star: % of orders with 3+ items that include a dairy-free Blizzard, incremental repeat volume per store.

WHY THIS MIGHT FAIL

Why this **might** fail.

1

Franchisees don't adopt

→ 50/50 equipment co-op and obvious unit economics

2

Oat-milk supply and cost

→ Primary contract plus a pre-vetted second supplier

3

Allergen cross-contact

→ Dedicated blender shaft; label "made with dairy-free ingredients," not allergen-free

4

Tough metro competition

→ Move first; ride the Blizzard's equity, not a cold start

5

Cannibalizes the classic

→ Position as incremental to a new, underserved buyer

What I'm asking for.

THE DECISION Approve a 6-month pilot of a premium dairy-free Blizzard: ~30 franchisees across 3 demand metros (LA, SF, NYC).

SCALE IF

- Dairy-free attach at least 8% of Blizzard orders
- Repeat rate at least 30% among triers
- Net-new group visits, not switched Blizzards

KILL IF

- Attach and repeat miss after 6 months
- No measurable incremental traffic

INVESTMENT

- 50/50 equipment co-op with franchisees
- Oat-milk supplier contract, dual-sourced
- Funded local demand, app, and onboarding

LIMITATIONS & NEXT STEPS

What I'd **validate** first.

WHAT I DON'T HAVE

Real franchisee P&Ls, DQ's actual oat-milk COGS, and store-level Blizzard volumes. The unit economics are illustrative until validated against DQ actuals.

THE FIRST TEST I'D RUN

Price elasticity by metro. A/B the dairy-free premium (\$0.50 vs \$1.00 vs \$1.50 over classic) across matched pilot stores.

THE ASSUMPTION TO VALIDATE FIRST

That dairy-free is incremental, net-new group visits, not cannibalized classic Blizzards. The control-store test answers this before any scale decision.

Naming the gaps and the test plan is the point: this is a direction to validate, not a claim of certainty.

THE RECOMMENDATION

**A premium Blizzard variant,
where demand already lives.**

Launch a premium-priced dairy-free Blizzard line extension, piloted through opt-in franchisee recruitment in high-demand metros. Prove the demand that already exists, then expand.

The receipts.

01	Market & category	Grand View Research; Mordor Intelligence (non-dairy ice cream market size and growth).
02	Franchise structure	Franchise Times, Expanded Ramblings (DQ ~100% franchised, 2 company stores, 4,212 U.S. locations).
03	Willingness to pay	Foods (2023), peer-reviewed study on plant-based premium willingness to pay (~44%).
04	Directional research	Conjoint (n=50) and perceptual map (n=52) from our graduate class team study. Small-sample and directional; used as an early input and consciously overridden where it conflicted with market and franchise reality.

Team research I led the analytics on; full data and analysis: github.com/naveen-raj-kanagaraj/dairy-queen-marketing-analytics